State Bond Referenda Questions

Referenda Questions 1 – 5 involve authorizing the State to borrow money through bonds and temporary notes to make capital investments **(Chapter 084 Public Laws 2026).**

What is a bond?

A bond is like a mortgage or loan. Just like people might borrow money to get an education or buy a home, the State is asking to borrow money from a lender with the promise to pay it back over time with interest. These questions are asking you for permission to borrow and invest in different areas of our state.

Here is a table of the bond proposals and their associated costs including principal and interest. Just as with a mortgage or loan, the total cost includes the principal amount borrowed and the amount of interest paid over the term of the bond. The total cost also includes any fees, printing, or underwriting expenses associated with issuing the bonds.

STATE BOND QUESTIONS	PRINCIPAL	INTEREST	TOTAL COSTS
1. Higher Education Facilities	$275,000,000	$166,333,250	$441,333,250
2. Housing and Homeownership	$120,000,000	$72,586,000	$192,586,000
3. Economic Development	$100,000,000	$60,483,750	$160,483,750
4. Cultural Economy	$50,000,000	$30,242,500	$80,242,500
5. Green Economy Bonds	$55,000,000	$33,267,500	$88,267,500
TOTAL BORROWING COSTS FOR ALL REFERENDA	$600,000,000	$362,913,000	$962,913,000

The total costs above are only estimates based on 20-year loans and an interest rate of 5%.

On the ballot, you will be asked:

"Shall the act passed by the General Assembly at the January 2026 session, allowing the State of Rhode Island to issue bonds, refunding bonds, and temporary notes to pay for the projects listed below, be approved, and the State be allowed to issue these bonds, refunding bonds, and temporary notes as outlined in the law?"

The following pages provide more information about each of the bond questions including their total estimated cost and project timetable. These estimated costs assume the bonds are gradually paid off with level payments over a 20-year period.

About Question 5:

What it will look like on the ballot:

5. GREEN ECONOMY BONDS - $55,000,000

For environmental and recreational purposes, to be allocated as follows:

a. Brownfields Remediation and Economic Development - $3,000,000

b. Facility Improvements - $12,000,000

c. Local Recreation Projects - $1,000,000

d. Marine Infrastructure Development - $1,000,000

e. Resilient Rhody Infrastructure Fund - $25,000,000

f. Narragansett Bay Watershed Restoration - $7,000,000

g. Agricultural Land Preservation Commission - $3,000,000

h. Open Space Program - $3,000,000

⬭ **Approve**

⬭ **Reject**

Approve

Your vote to "Approve" means that you support the State issuing $55,000,000 in general obligation bonds for environmental and recreational purposes.

Reject

Your vote to "Reject" means that you are against the State issuing $55,000,000 in general obligation bonds for environmental and recreational purposes.

Explanation and purpose of Question 5:

Approval of this bond will provide fifty-five million dollars ($55,000,000) to allow the State to invest in improving the environment and public recreation facilities. The $55,000,000 will be allocated as outlined below to remediate contaminated brownfield sites, improve facilities at State parks, beaches, and campgrounds, support local outdoor recreation projects, develop marine infrastructure such as public boat launches, improve the state's resilience to extreme weather and natural disasters, improve water quality in Narragansett Bay and the state's watersheds, protect working farmland, and conserve open space.

Specifically, approval of this question will provide:

a) Brownfields Remediation and Economic Development - $3,000,000 for the cleanup of former industrial or commercial "brownfield" sites that may be contaminated by hazardous waste or other environmental pollution. Funding is used to provide matching grants to public, private, and/or non-profit entities for brownfield remediation projects that bring sites back into productive use, return them to tax rolls, create jobs, and revitalize neighborhoods.

b) Facility Improvements - $12,000,000 for major capital improvements to facilities at State parks, beaches, and campgrounds. Facility improvements include new and upgraded visitor centers and restrooms, campsite enhancements, and infrastructure improvements.

c) Local Recreation Projects - $1,000,000 for the Outdoor Recreation Grant Program to award matching grants to municipalities to develop or rehabilitate local public outdoor recreational facilities such as parks, playgrounds, and athletic fields, and to acquire land for public recreational facilities.

d) Marine Infrastructure Development - $1,000,000 for improvements to public marine infrastructure such as boat launches and docks.

e) Resilient Rhody Infrastructure Fund - $25,000,000 to provide financial assistance to local governmental units for restoring and/or improving resiliency of infrastructure, vulnerable coastal habitats, and restoring river and stream floodplains. These funds will be prioritized to leverage federal, state, and local funds to support local programs to improve community resiliency, stormwater abatement and public safety in the face of increased flooding, major storm events, and environmental degradation.

f) Narragansett Bay Watershed Restoration - $7,000,000 for matching grants to public and private entities to complete projects that restore and protect the water quality, aquatic habitats, and the environmental sustainability of Narragansett Bay and Rhode Island's watersheds. The investments will advance work toward clean and safe waters for drinking water, shellfishing, recreation, commerce, and other valued uses. Eligible projects include, but are not limited to, improved stormwater management, green infrastructure, riparian buffer enhancement, aquatic habitat restoration including control of aquatic invasive plants, nonpoint pollution abatement projects, and flood mitigation projects that reduce long-term flooding risks while enhancing ecological functioning of ecosystems.

g) Agricultural Land Preservation Commission - $3,000,000 for the State to help protect Rhode Island's working farms through the Agricultural Land Preservation Commission.

h) Open Space Program - $3,000,000 for the State Land Acquisition Program allowing the State to acquire fee simple interest or conservation easements to open space, farmland, watershed, and recreation lands. The State would invest these funds in the preservation of iconic, scenic, and sensitive natural, agricultural, and recreational resources. The funds will be used to provide opportunities for Rhode Islanders and visitors to enjoy nature, hike, fish, and hunt. Funds are matched by federal, local, and non-profit sources, typically with each State dollar being matched by three other dollars.

How much money will be borrowed?

$55,000,000

Project timetable:

Most projects will be completed within five years of their commencement.

Useful life:

The useful life of projects varies depending on the project, but most projects will have a useful life of 25 to 50 years. The useful life of open space or farmland conserved is permanent.

Total cost:

PROJECT COSTS		COST OF ISSUANCE*	
Principal	**Interest****	**Principal**	**Interest****
$54,780,000	$33,134,430	$220,000	$133,070

TOTAL PROJECT AND ISSUANCE COSTS		
Principal	**Interest****	**Total Costs**
$55,000,000	$33,267,500	$88,267,500

** Cost of issuance estimated at 0.4% of principal issued.*
*** Assumes an interest rate of 5%, with bonds amortized with level payments over 20 years.*